following a diet, which looks doable on paper till you start looking for the cheat days. Human behaviour can force you to ditch a long-term financial goal for short-term gratification.

Choosing a 25-year home loan or starting retirement investments is a serious financial and emotional decision. Imagine an economic hardship or sudden financial emergency that goes beyond your planned reserves five years after you started pursuing a long-term financial goal. You are emotionally anchored to ditch your retirement savings to address your immediate emergency. This mismatch between long-term goals and short-term challenges is at the heart of almost every financial goal (See *Building a Margin of Safety*).

WE HAVE TRIED TO ADAPT A VERY WESTERN APPROACH TO FINANCIAL LIFE, WITH MIXED RESULTS, IN THE ABSENCE OF A CLEAR INDIAN WAY

SECURING FINANCIAL PLANS

To build a buffer around your financial goals, create a margin of safety across different aspects of your financial life

- **EMERGENCY FUND:** This reserve prevents you from needing to liquidate long-term investments during temporary setbacks. Its purpose is stability, not returns. While up to six months of essential expenses is suggested, you could create this fund for a longer period
- **ADEQUATE INSURANCE:** The right amount of coverage should reflect your income, liabilities and future responsibilities. As income grows and life stages change, protection needs also evolve
- **DIVERSIFIED INVESTMENTS:** Spread your investments across asset classes to reduce concentration risk because different assets perform differently across economic cycles. Periodic rebalancing helps you stay aligned with long-term wealth-planning goals
- **CONSERVATIVE GOAL PLANNING:** Realistic return assumptions and inflation-adjusted projections create natural flexibility in planning. Overly optimistic expectations can create funding gaps later. Conservative estimates keep goals achievable even with moderate returns
- **COLLATERAL:** Borrow only what you need or what you can comfortably service, not the maximum. Maxing credit cards is easy as long as you repay on time to avoid penalties and interest on late payments

Protecting Life and Health

Every financial plan is built on a strong insurance foundation. Insurance, both life and health, is a financial mitigation tool. In simple terms, you transfer the risk of dying or falling sick to an insurer, who agrees to pay you or your beneficiary an agreed sum if the insured event occurs. You can think about insurance as a reverse lottery. It's like gambling; however, you hope you lose, because when you lose, it means you didn't pass away too soon. People typically buy life insurance as soon as they start earning because premiums are lower when they're young. The same goes with health insurance, as you are unlikely to have health-related issues at a young age; the insurer offers you a policy with low premiums.

Life policies come with long lock-in periods of 20-25 years, which means you lock in the low premium rate for a long term. However, the quantum of cover that you take at an early age is not necessarily high. It may not be adequate, say, when you are in your 30s, married with a child. The chances of needing higher insurance cover later are much higher, but by then you'll pay a higher premium as the risk to your life and health increases with age.

SMART IDEA

A pure-risk term insurance policy for a sufficient amount should work for you until you are about to retire or earlier. While death and ill health are unpredictable, investing in your health does help. Maintain your weight, don't overindulge and work to stay fit; this will reduce your reliance on insurance

Ideally, you should review your insurance cover as you age and as your economic situation and financial responsibilities change. Insurance is designed to protect your financial life. It transfers life's worst-case scenarios, such as death, disability, or major illness, to an insurer, creating a safety net so one event doesn't derail your savings or retirement. With so many different insurers and policy types, each with specific exclusions and conditions, it's hard to choose a policy that provides full financial protection. Moreover, the most suitable policy may be too expensive.